Brown (1991) 235 Cal. App. 3d 1097, 1107.) Here Code of Civil Procedure Sections 2030.290(a) and 2033.280 authorize a court to relieve a party from waiver by failure to timely respond to interrogatories and requests for admissions. Thus relief under Section 473 is unavailable to Defendants.

The motion to compel responses to Plaintiff's Requests for Admissions and Form Interrogatories is set for hearing on September 9, 2026. It is at that time and in that hearing that Defendant may seek relief from his failure to timely respond to Plaintiff's discovery.

Plaintiff's request for sanctions is **denied**.

14. 9:00 AM CASE NUMBER: C25-01748
CASE NAME: E. LELAND ROAD ASSOCIATES, LLC VS. BW E LELAND PITTSBURG LLC
MOTION TO BE RELIEVED AS COUNSEL BE RELIEVED AS COUNSEL SAM FERGUSON
FILED BY: E. LELAND ROAD ASSOCIATES, LLC
TENTATIVE RULING:

Motion withdrawn by moving party as moot. Counsel notified court that Substitution of Counsel notices are being filed.

15. 9:00 AM CASE NUMBER: C25-01748
CASE NAME: E. LELAND ROAD ASSOCIATES, LLC VS. BW E LELAND PITTSBURG LLC
MOTION TO BE RELIEVED AS COUNSEL BE RELIEVED AS COUNSEL BILL BERLAND
FILED BY: E. LELAND ROAD ASSOCIATES, LLC
TENTATIVE RULING:

Motion withdrawn by moving party as moot. Counsel notified court that Substitution of Counsel notices are being filed.

16. 9:00 AM CASE NUMBER: C25-01748
CASE NAME: E. LELAND ROAD ASSOCIATES, LLC VS. BW E LELAND PITTSBURG LLC
MOTION TO BE RELIEVED AS COUNSEL BE RELIEVED AS COUNSEL NOAH BERLAND
FILED BY: E. LELAND ROAD ASSOCIATES, LLC
TENTATIVE RULING:

Motion withdrawn by moving party as moot. Counsel notified court that Substitution of Counsel notices are being filed.

17. 9:00 AM CASE NUMBER: C26-00479
CASE NAME: EVAN OWENS VS. ELIZABETH LAYN
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT/CONT'D TO 9/4/26 FROM 8/21/26
FILED BY: LAYN, ELIZABETH G.
TENTATIVE RULING:

Before the Court is a demurrer by defendants to the first amended complaint. For the reasons set forth, the general demurrers to first and second causes of action are **sustained, with leave to amend**, and the general demurrer to the third cause of action and to the first amended complaint in its entirety for failure to allege facts sufficient to state any cause of action are **overruled.** The general demurrers to the fourth, fifth, and sixth causes of action based on lack of subject matter jurisdiction are **overruled**; however, based on the doctrine of exclusive concurrent jurisdiction, or alternatively, based on the Court's inherent authority, the claims against defendant Elizabeth A. Layn ("Annie") in the fourth, fifth, and sixth causes of action are **stayed**, as set forth further below.

Background

This action was filed by plaintiff Evan Owens ("Evan") against defendants Frederick C. Layn ("Frederick"), Elizabeth G. Layn ("Elizabeth G"), and Elizabeth A. Layn ("Annie," as referred to in the first amended complaint ("FAC")), the daughter of Frederick and Elizabeth G (FAC p. 2, fn. 1). (Frederick and Elizabeth G are sometimes referred to as the "Layn defendants" in this ruling.) The Court uses first names not out of disrespect but to avoid confusion given that the three defendants have the same last name. Plaintiff alleges that in July 2011, he married Annie, but that they are in proceedings to dissolve their marriage. (FAC ¶ 8.) He alleges they separated in October 2023, and dissolution proceedings were initiated in February 2024 (or February 2025). (FAC ¶¶ 36, 37 [February 2024], 38 [February 2025].)

The dispute relates to real property referred to as the "Walkup Ranch" located on Lincoln Castle Highway in Lincoln, California (the "Property"). The Property was allegedly owned by Elizabeth G and her sister Jeanette Duff, who entered into a development agreement memorialized in a Project Entitlement and Option Agreement with Lake Development-Lincoln, LLC, a limited liability company also owned by Elizabeth G and Duff (the "LLC"). (FAC ¶¶ 9, 12.)

Plaintiff alleges that (a) at some unspecified time, Elizabeth G made a "Promise" to Annie and Evan that they would receive $1,000,000 from the successful sale of the Property (FAC ¶ 13); (b) that in December 2012, Elizabeth G signed a notarized document stating that she made gifts to Annie totaling 20% of Elizabeth G's 50% share of the Property (the alleged "Gift") (FAC ¶ 15 and Exh. 1); (c) that "days prior to their marriage," the LLC made a promissory note dated July 5, 2011 in the amount of $150,000 in favor of Annie and Evan (the "Note") (FAC ¶¶ 17, 18 and Exh. 2); (d) based on a request by Frederick and Elizabeth G for Annie and Evan to lend them the funds Annie and Owen received from the Note, there was an "Oral Contract" pursuant to which Annie and Evan allegedly "agreed to send the proceeds" of the Note to Frederick and Elizabeth G, and Frederick and Elizabeth G allegedly agreed "to repay those funds at some point in time after" Frederick and Elizabeth G received payment from the sale of the Property to a third party, Taylor Morrison (FAC ¶¶ 22, 23); and (e) before the sale of the Property to Taylor Morrison was finalized, the LLC and Annie and Evan entered into an Amendment to Promissory Note dated May 17, 2019 ("Amended Note"), which among other things, amended the Note and designated Annie as a "collection agent" authorized to receive payments on behalf of Annie and Evan as payee (FAC ¶¶ 24, 25 and Exh. 3).

Plaintiff further alleges that Annie and Evan decided to forego enforcing their claim to the Property based on the Promise (and the Gift) to avoid interfering with the sale, though they would have received over $1 million based on the Gift because the Property eventually sold for $26 million. (FAC ¶¶ 26, 27.) Plaintiff alleges Taylor Morrison made payments for the Property beginning in mid-2019 and a final payment in March 2022. (FAC ¶ 28.) Frederick and Elizabeth G allegedly made a payment to Annie of $100,000 in March 2022 which they represented was an initial installment toward the $1 million Promise amount, but Elizabeth G later signed a sworn statement in June 2025 stating the $100,000 was a bonus for Annie's work on the development of the Property. (FAC ¶¶ 32, 33, 39.) He alleges Frederick and Elizabeth G "continued to represent" to Evan that they would be paid the rest of the funds under the Promise during the period Annie and Evan were separated and before the dissolution proceedings began. (FAC ¶¶ 34-37.)

Based on these facts, Plaintiff alleges six causes of action, three against Frederick and Elizabeth G and three against Annie.

<u>Legal Standards Governing Demurrer</u>

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra,* 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (*See also Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra,* 19 Cal.4th at 39.)

<u>Defendants' Request for Judicial Notice</u>

In support of their demurrer, defendants request the Court take judicial notice of a series of documents recorded in the Placer County Recorder's Office, including (1) a Memorandum of Project Entitlement and Option Agreement recorded on October 13, 2009; (2) a Release and Termination of Memorandum recorded on May 31, 2019; (3) a Purchase Money Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing recorded on April 3, 2020; (4) Grant Deed recorded on April 3, 2020; (5) a First Modification of the Deed of Trust recorded on June 18, 2021; (6) a Second Modification of the Deed of Trust recorded on November 1, 2021; and (7) a Substitution of Trustee and Full Reconveyance recorded on March 10, 2022. (Def. RJN Exhs. 1-7.) Plaintiff has not opposed the request.

The Court can take judicial notice of the existence of recorded documents, with limitations. (Evid. Code § 452(c); *Linda Vista Village San Diego Homeowners Assn., Inc. v. Tecolote Investors, LLC* (2015) 234 Cal.App.4th 166, 184 [judicial notice of recorded documents]; *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265.) Judicial notice cannot be taken of disputed facts that may be stated in the document. (*Fontenot, supra,* 198 Cal.App.4th at 266-267.) Subject to the applicable limitations on judicial notice, the Court **grants** the unopposed request for judicial notice.

<u>Defendants' Overlength Memorandum</u>

Defendants' memorandum in support of the demurrer is 17 pages, which violates the 15-page limit in the California Rules of Court. (Cal. R. Ct., 3.1113(d).) Defendants did not ask for leave to file the overlength brief. (Cal. R. Ct., Rule 3.1113(e).) Plaintiff did not object to the overlength brief in the opposition. The Court in its discretion will consider the overlength brief but cautions the parties that it expects compliance with the applicable rules in future filings. (Cal. R. Ct., Rule 3.1113(g).)

<u>Analysis</u>

Defendants generally demur to the FAC in its entirety on two grounds: that Plaintiff has failed "to state facts sufficient to constitute each and every cause of action therein," and under Code of Civil Procedure § 430.10(a), that the Court lacks "jurisdiction over the subject matter of the claims against" Annie. Only three of the causes of action of the FAC (4th, 5th, and 6th C/As) are alleged against Annie. They also assert demurrers to each of the sixth causes of action.

<u>Demurrers to Causes of Action Against Frederick and Elizabeth G</u>

A. <u>Demurrer to 1st Cause of Action for Breach of Oral Contract</u>

Plaintiff alleges a first cause of action for breach of the alleged Oral Contract. Plaintiff alleges Frederick and Elizabeth G breached the Oral Contract by Frederick and Elizabeth G "failing to make the required payments to [Evan and Annie] on the Amended Note for the full amount paid to the Layns, plus interest." (FAC ¶ 46.)

1. <u>Legal Background</u>

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) For any contract to be enforceable, it must be " 'sufficiently definite (and this is a question of law) for the court to ascertain the parties' obligations and to determine whether those obligations have been performed or breached.' [Citation omitted.]" (*Bustamante v. Intuit, Inc.* (2006) 141 Cal.App.4th 199, 209.)

The promise "must be definite enough that a court can determine the scope of the duty[,] and the limits of performance must be sufficiently defined to provide a rational basis for the assessment of damages. [Citations omitted.] 'Where a contract is so uncertain and indefinite that the intention of the parties in material particulars cannot be ascertained, the contract is void and unenforceable.' [Citations omitted.] . . . . 'If . . . a supposed "contract" does not provide a basis for determining what obligations the parties have agreed to, and hence does not make possible a determination of whether those agreed obligations have been breached, there is no contract.' [Citation omitted.]" (*Id.*) (*See also Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal. App. 4th 1150, 1174, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919 [" 'The terms of a contract are reasonably certain if they provide a basis for determining the existence of a breach and for giving an appropriate remedy. " 'Where a contract is so uncertain and indefinite that the intention of the parties in material particulars cannot be ascertained, the contract is void and unenforceable.' " [Citation omitted.]' "].)

"Typically, a contract involving a loan must include the identity of the lender and borrower, the amount of the loan, and the terms for repayment in order to be sufficiently definite. [Citation omitted.]" (*Daniels, supra,* 246 Cal. App. 4th at 1174.) (*See also Westlands Water Dist. v. All Persons Interested* (2023) 95 Cal.App.5th 98, 127 [same].)

2. Absence of Essential Facts and Contradictory Allegations Regarding the Oral Contract and Its Breach

Plaintiff alleges that in or around 2019, at about the time Elizabeth G, Duff, and the LLC learned of the opportunity to sell the Property to Taylor Morrison, Frederick and Elizabeth G needed money. He alleges that they asked Evan and Annie to lend them the funds to be repaid to Annie and Evan under the Note from the LLC, that Evan and Annie "agreed" to send the "proceeds" of the Note to Frederick and Elizabeth G, and Frederick and Elizabeth G would repay those funds sometime after the sale of the Property to Taylor Morrison. (FAC ¶¶ 22, 23.)

Plaintiff does not allege that Annie and Evan actually received any proceeds of the Note from the LLC which they could then lend to Annie's parents. Plaintiff's allegation that Annie and Evan "agreed" to send proceeds is not the same as an allegation that they sent proceeds of the Note to make the alleged loan subject to the Oral Contract. Plaintiff does not allege the amount of any proceeds they sent to Frederick and Elizabeth G from the Note or any other facts alleging the loan amount subject to the alleged Oral Contract, which is essential to a loan contract. (*See* FAC ¶¶ 22, 23, 44, 45; *Daniels, supra,* 246 Cal. App. 4th at 1174; *Westlands Water Dist., supra,* 95 Cal.App.5th at 127.) The term "proceeds" is not enough to allege the amount of the loan subject to the alleged Oral Contract.

Further, the allegations regarding the loan to Frederick and Elizabeth G from the Note "proceeds" on which the Oral Contract are founded are contradicted by the exhibits attached to the FAC. Plaintiff alleges that the LLC made an Amended Note in May 2019 which, on its face (*see* FAC Exh. 3), modified the repayment terms and maturity date of the original Note, which did not call for any payments to be made on the Note until maturity. (FAC Exh. 2 [Note para. 3], Exh. 3 [Amended Note para. 3]). The face of the Note and Amended Note conflict with the implied factual allegation on which the Oral Contract is premised, specifically that Annie and Evan received any proceeds from the Note from the LLC in 2019 that Annie and Evan could then loan to Frederick and Elizabeth G pursuant to the alleged Oral Contract.

"As a general rule in testing a pleading against a demurrer the facts alleged in the pleading are deemed to be true, however improbable they may be. [Citation omitted.] The courts, however, will not close their eyes to situations where a complaint contains allegations of fact inconsistent with attached documents, or allegations contrary to facts which are judicially noticed. [Citations omitted.]" (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604.) (*See also Sarale v. Pacific Gas & Electric Co.* (2010) 189 Cal. App. 4th 225, 245 [holding exhibit attached to the complaint contradicted the allegation that no easement existed, stating that the court accepts as true the facts appearing in exhibits attached to the complaint, and if the facts appearing in the exhibit "contradict those expressly pleaded, those in the exhibit are given precedence. [Citations.]' [Citation omitted.]"].)

Plaintiff directs the Court to Exhibit A to the Amended Note, which he argues "reflected the amounts owing from Lake as of May 31, 2019" (Opp. p. 5, reproducing Exhibit A from the Amended Note). To the extent that Plaintiff's contention is that the amount of the alleged loan Evan and Annie made to the Layn defendants from the Note proceeds subject to the Oral Contract is shown by Exhibit A to the Amended Note, Exhibit A to the Amended Note only highlights the factual contradiction between the

Exhibits attached to the FAC and the implied allegation that Annie and Evan received proceeds from the Note that they then loaned to Frederick and Elizabeth G personally to make the loan subject to the Oral Contract.

Consistent with the original Note being modified by the Amended Note, Exhibit A to the Amended Note supports that the original Note was not paid in May 2019, but rather that the outstanding amount of that original Note remained outstanding when the Amended Note was made, changing the time, terms and conditions for the repayment of the $150,000 plus interest due under the Note. Exhibit A to the Amended Note shows the original loan amount of $150,000 outstanding in July 2011 when the Note was made, with accruing interest each year through May 2019 when the Note was amended by the Amended Note, without reflecting any payments on the outstanding balance.

Indeed, there would be no outstanding balance owed under the Amended Note, reflected in Exhibit A to Exhibit 3 to the FAC, if the balance owed under the original Note had been paid to Annie and Evan. The outstanding balance under the Note would have been zero; the "proceeds" of the Note would have been paid by the LLC to the payees, Annie and Evan, so that they could "send" the proceeds to the Layn defendants to fund the personal loan Plaintiff alleges was subject to the Oral Contract. There would have been no need for or basis for making an Amended Note; the original Note would have been satisfied by the “proceeds” received by Annie and Evan, and then Annie and Evan would have lent/sent those proceeds to the Layn defendants for the personal loan to Frederick and Elizabeth G that is the subject of the Oral Contract.

Based on the Amended Note that shows an outstanding balance in May 2019 from the original Note in Exhibit A, Plaintiff is essentially alleging facts in the FAC that would give Evan and Annie a double recovery on the same funds; specifically, a right to be paid for the same funds from the personal loan of the Note "proceeds" that may have allegedly been "sent" to Frederick and Elizabeth G, plus a right to be paid under the Amended Note by the LLC for the outstanding balance shown in Exhibit A to the Amended Note. Exhibit A to the Amended Note does not resolve, but only exacerbates, the factual deficiencies and contradictions between Plaintiff's Oral Contract allegations in paragraphs 22 and 23 of the FAC and Exhibits 2 and 3 to the FAC.

To the extent Plaintiff would argue that, notwithstanding these contradictions, he has sufficiently stated the claim for breach of the Oral Contract based on his general allegations regarding his performance of "substantially all" "significant things" he was required to do under the Oral Contract and the conditions for defendants' performance occurred (FAC ¶¶ 45, 46). "It is well established that in the context of a demurrer, specific allegations control over more general ones. [Citations omitted.] As the court explained in *Perez*, 'Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that add details or explanatory facts, it is possible that a conflict or inconsistency will exist between the general allegation and the specific allegations. To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation. [Citations.] Under this principle, it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient.' [Citation omitted.]" (*Chen v. PayPal, Inc.* (2021) 61 Cal. App. 5th 559, 571-572 [finding breach of contract cause of action failed based on this principle].)

Plaintiff's allegations regarding how the Layn defendants breached the Oral Contract also raise additional contradictions between the FAC Oral Contract factual allegations and the facts shown in the exhibits attached to the FAC. Plaintiff alleges Frederick and Elizabeth G breached the Oral Contract "by failing to make the required payments to Evan and Annie on the Amended Note for the full amounts paid to" Annie's parents [presumably the "proceeds" of the Note alleged in paragraphs 22 and 23], plus interest. (FAC ¶ 46.) Frederick and Elizabeth G are not the makers of or obligors on the Amended Note and had no duty to make payments on the Amended Note; the LLC is the "Maker" and obligor. (FAC Exh. 3.) The allegation regarding the acts constituting the breach contradicts the terms of Exhibit 3 attached to the FAC, because Frederick and Elizabeth G were not obligated personally to make any payments to Annie and Evan under the Amended Note. At best, the allegations of paragraph 46 regarding the breach, in the context of the other allegations supporting the FAC, are ambiguous, conflicting, and indefinite regarding the alleged breach of the Oral Contract.

Given these deficiencies in the facts alleged to support the first cause of action, the Court need not reach other grounds for the demurrer to this cause of action. The demurrer to the first cause of action is **sustained, with leave to amend.**

B. Demurrer to Breach of the Implied Covenant of Good Faith and Fair Dealing (2nd C/A)

Plaintiff's second cause of action against Frederick and Elizabeth G is related to the first. He alleges a cause of action for breach of the implied covenant of good faith and fair dealing in the Oral Contract. He alleges a breach of the implied covenant based on Frederick and Elizabeth G failure to repay Evan and Annie "the funds paid out on the Amended Note" and by representing to Evan and Annie the funds would be repaid "even after" they had decided they would try to preclude Evan from receiving payment. (FAC ¶ 53.)

"[I]n California every contract contains an implied covenant of good faith and fair dealing that 'neither party will do anything which will injure the right of the other to receive the benefits of the agreement.' [Citations, internal omitted.]" (*Wolf v. Walt Disney Pictures & Television* (2008) 162 Cal.App.4th 1107, 1120.) "The covenant is read into contracts and functions ' "as a supplement to the express contractual covenants, to prevent a contracting party from engaging in conduct which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract." ' [Citation omitted.]" (*Thrifty Payless, Inc. v. The Americana at Brand, LLC* (2013) 218 Cal.App.4th 1230, 1244 [quoting *Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031–1032].) Since the implied covenant supplements the express terms of a contract, to state a claim for breach of the implied covenant, there must be an underlying contract in which Plaintiff has the right to contractual benefits. (*Behnke v. State Farm General Ins. Co.* (2011) 196 Cal. App. 4th 1443, 1469 ["Absent an underlying contractual right, 'the implied covenant has nothing upon which to act as a supplement, and "should not be endowed with an existence independent of its contractual underpinnings." ' [Citation omitted.]; *Racine & Laramie, Ltd., supra,* 11 Cal.App.4th at 1031–1032.)

The implied covenant of good faith and fair dealing is "an implied-in-law term of the contract. Therefore, its breach will always result in a breach of the contract, although a breach of a consensual (i.e., an express or implied-in-fact) contract term will not necessarily constitute a breach of the covenant. [fn omitted] [¶] A ' "breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself" . . . .' [Citation omitted.]" (*Careau & Co. v.*

Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1393-1394.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (*Id*. at 1395.)

Defendants contend this cause of action fails for the same reasons the first cause of action fails, and also because Plaintiff has not pled conduct constituting a breach of the Oral Contract separate from the breaches of the express terms of the Oral Contract alleged in the first cause of action. Plaintiff has not pleaded facts sufficient to allege the breach of Oral Contract cause of action, and those deficiencies also make this cause of action deficient.

The Court also concurs with defendants' argument that Plaintiff has failed to allege damages he sustained as a result of the breach of the implied covenant. Damages are an essential element of this cause of action as a form of breach of contract. (*Oasis West Realty, LLC, supra,* 51 Cal.4th at 821.) Plaintiff alleges only that he was "harmed" by the Layn defendants' conduct, but not that he sustained any damages or the amount of the alleged damages. (FAC ¶ 54.)

On these grounds, the demurrer to the second cause of action is **sustained, with leave to amend**. The Court need not reach the other grounds asserted for the demurrer to this cause of action.

C. Demurrer to Promissory Estoppel Cause of Action (3rd C/A)

Evan alleges a third cause of action for promissory estoppel based on Frederick and Elizabeth G's "clear and unambiguous" promise to pay Evan and Annie $1 million after the sale of the Property which Evan and Annie allegedly reasonably relied on to their detriment by agreeing to a reduced interest rate in the Amended Note to 10% interest, and waiving the opportunity for Annie to assert her "putative ownership rights" in the Property, which would have resulted in funds from the sale being paid directly to her. (FAC ¶¶ 56-58.)

"The elements of a promissory estoppel claim are '(1) a promise clear and unambiguous in its terms; (2) reliance by the party to whom the promise is made; (3) [the] reliance must be both reasonable and foreseeable; and (4) the party asserting the estoppel must be injured by his reliance.' [Citations, internal quotation marks omitted.]" (*Granadino v. Wells Fargo Bank, N.A.* (2015) 236 Cal.App.4th 411, 416-417 [quoting *Aceves v. U.S. Bank N.A.* (2011) 192 Cal.App.4th 218, 225].)

The promise on which this cause of action rests is not the Oral Contract but rather the alleged Promise by Frederick and Elizabeth G to pay $1 million from the sale of the Property to Annie and Evan. (FAC ¶ 56.) Plaintiff alleges that he and Annie reasonably, foreseeably, and detrimentally relied on the Promise of the $1 million payment by (a) accepting a reduced interest rate on the Note pursuant to the Amended Note; and (b) waiving Annie's assertion of her "putative ownership rights in the Property" by which funds from the sale of the Property would be paid directly to her. (FAC ¶ 57.)

Defendants demur to this cause of action solely on the ground that allegations in the FAC regarding the Promise contradict the allegations of the original complaint. Defendants contend that in the original complaint, Plaintiff alleged that the promise to pay $1 million from the sale of the Property was made solely to Annie, but that Plaintiff now alleges the promise was made to both Annie and Evan. (Compare FAC ¶¶ 11 [gift to Annie and her family] and 13 [promise to Annie and Evan] to Compl. ¶¶ 11 [gift to Annie, without reference to Annie's family] and 13 [Elizabeth G promised Annie [not Annie and Evan] would receive $1 million from the sale of the Property].) They are invoking the sham pleading doctrine.

"Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. [Citation omitted.] . . . . [¶] The sham pleading doctrine is not ' "intended to prevent honest complainants from correcting erroneous allegations . . . or to prevent correction of ambiguous facts." ' [Citation omitted.] Instead, it is intended to enable courts ' "to prevent an abuse of process." ' [Citation omitted.]" (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 426 [emphasis added].) (*See also Nolte v. Cedars-Sinai Medical Center* (2015) 236 Cal.App.4th 1401, 1406 [" 'A plaintiff may not avoid a demurrer by pleading facts or positions in an amended complaint that <u>contradict</u> the facts pleaded in the original complaint or by suppressing facts which prove the pleaded facts false.' [Citation omitted.]" (Emphasis added.)]; *Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151-152 ["If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective <u>or by adding facts inconsistent with those of previous pleadings</u>, the court may take judicial notice of prior pleadings and may disregard any <u>inconsistent</u> allegations. [Citations omitted.]" (Emphasis added.)].) "Where <u>no explanation for an inconsistency is offered</u>, the trial court is entitled to conclude that the pleading party's cause of action is a sham and sustain a demurrer without leave to amend. [Citation omitted.]" (*Zakk v. Diesel* (2019) 33 Cal. App. 5th 431, 447.)

Plaintiff has offered an explanation for the inconsistency in his opposition by asserting that Annie was married to Evan when the alleged Promise was made and that under California's community property laws, the promise presumptively included Evan as Annie's spouse. (Opp. p. 9.) He contends that the changes in paragraphs 11 and 13 merely clarify the fact that it was implicitly understood that Annie's portion necessarily included Evan as her husband. (Opp. p. 9.)

Defendants did not file a reply to the opposition. Based on the explanation offered in the opposition to which no response was filed, the Court accepts the explanation as sufficient for purposes of the sham pleading doctrine and this ruling on the demurrer. The demurrer to third cause of action made solely based on the sham pleading doctrine is **overruled.** The general demurrer as the FAC in its entirety for failure to allege facts sufficient to state any cause of action is therefore also **overruled.**

<u>Causes of Action Against Annie</u>

The FAC alleges causes of action against Annie for breach of contract based on Annie's breach of duties as collection agent under the Amended Note (4th C/A), breach of the implied covenant of good faith and fair dealing also related to Annie's acts or omissions related to the Amended Note (5th C/A), and breach of fiduciary duties for breach of her fiduciary duties to Evan as Owen's agent related to the Amended Note (6th C/A). In addition to the general demurrer to the FAC as a whole, defendants make general demurrers to each of the three causes of action for failure state facts sufficient to allege the causes of action and because the "family court has exclusive jurisdiction" over the subject of the three causes of action under Family Code § 2010.

A. <u>Demurrer Based on Family Court Jurisdiction over the Dissolution</u>

Plaintiff alleges that a dissolution proceeding was commenced in 2024 (or 2025), preceding the filing of this lawsuit. (FAC ¶¶ 8, 36, 37, 38.) Plaintiff does not dispute the pendency of that proceeding.

Defendants cite lack of subject matter jurisdiction and Code of Civil Procedure § 430.10(a) as the basis for their demurrer. Plaintiff correctly points out that subject matter jurisdiction for purposes of Code of Civil Procedure § 430.10(a) refers to the fundamental subject matter jurisdiction. " 'The principle of "subject matter jurisdiction" relates to the inherent authority of the court involved to deal with the case or matter before it.' [Citation omitted.] Thus, in the absence of subject matter jurisdiction, a trial court has no power 'to hear or determine [the] case.' [Citation omitted.]" (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal. 4th 180, 196.) The authorities cited in support of the demurrer do not demonstrate that this Court does not have fundamental subject matter jurisdiction to consider the claims against Annie.

B. Exclusive Concurrent Jurisdiction

Plaintiff recognizes that in support of the demurrer to the claims against Annie, defendants have cited decisions such as *Glade v. Glade* (1995) 38 Cal.App.4th 1441 and *Askew v. Askew* (1994) 22 Cal.App.4th 942. As Plaintiff explains in his opposition, those cases do not hold that the civil department of the Court lacks fundamental subject matter jurisdiction but "stand for the narrower rule that once a family court has assumed jurisdiction to characterize, value, and divide community property, another department of that same court <u>should not issue orders that adversely affect the family court's property-division function</u>." (Opp. p. 14, ll. 9-16 [emphasis added].) (*See also McMillin v. Eare* (2021) 70 Cal. App. 5th 893, 918-919 [emphasis added, citing, among other decisions, *Askew v. Askew* (1994) 22 Cal.App.4th 942, 961–962 and *Glade v. Glade* (1995) 38 Cal.App.4th 1441, 1445, 1448, 1455, and 1458].) Plaintiff recognizes the cases "stand for a doctrine of priority and orderly administration, <u>enforced by abatement or stay</u>." (Opp. p. 14, ll. 16-17.)

Plaintiff also acknowledges that arguments and authorities raised in the demurrer raise the issue of exclusive concurrent jurisdiction, despite the reference to subject matter jurisdiction and Code of Civil Procedure § 430.10(a), and that defendants have requested as alternative relief a stay of the claims against Annie based on Family Code § 2010 and the case authorities cited. Indeed, Plaintiff opposes the demurrers to the claims against Annie by arguing that the exclusive concurrent jurisdiction doctrine does not allow dismissal of the causes of action but rather warrants abatement <u>or a stay</u>. (Opp. p. 14, ll. 19-28 [asserting that issues regarding exclusive concurrent jurisdiction invoke "a policy of comity and judicial economy, giving rise to a stay or abatement" though not a loss of jurisdiction, citing *Plant Insulation Co. v. Fibreboard Corp.* (1990) 224 Cal.App.3d 781, in which the Court ordered the action should have been stayed rather than dismissed where exclusive concurrent jurisdiction applied.].)

Plaintiff's opposition concedes there is a dissolution proceeding involving Evan and Annie pending in the Superior Court of Nevada County. Plaintiff's alleges the dissolution proceeding commenced before this lawsuit, which was filed in 2026. It is apparent to the Court from the demurring parties' arguments, authorities cited, and relief requested, and also apparent to Plaintiff based on the arguments in his opposition, that the "jurisdiction" issue asserted by defendants is reasonably interpreted encompasses the judicially created doctrine of exclusive concurrent jurisdiction based on the prior pendency of the dissolution proceeding between Annie and Evan. (*See People ex rel. Garamendi v. American Autoplan, Inc.* (1993) 20 Cal. App. 4th 760, 769-771.)

The Court in *Plant Insulation Co.* explained, "Under the rule of exclusive concurrent jurisdiction, 'when two superior courts have concurrent jurisdiction over the subject matter and all parties involved in litigation, the first to assume jurisdiction has exclusive and continuing jurisdiction over the subject matter and all parties involved until such time as all necessarily related matters have been resolved.' [Citations omitted.] The rule is based upon the public policies of avoiding conflicts that might arise between courts if they were free to make contradictory decisions or awards relating to the same controversy, and preventing vexatious litigation and multiplicity of suits. [Citations omitted.] The rule is established and enforced not 'so much to protect the rights of parties as to protect the rights of Courts of co-ordinate jurisdiction to avoid conflict of jurisdiction, confusion and delay in the administration of justice.' [Citation omitted.]" (*Plant Insulation Co., supra,* 224 Cal.App.3d at 786-787 [emphasis added].) (*See also County of Siskiyou v. Superior Court* (2013) 217 Cal. App. 4th 83, 92 ["[T]he rule of exclusive concurrent jurisdiction is a rule of policy, and countervailing policies may make the rule inapplicable. [Citation omitted.]"].)

The Court in *Plant Insulation Co.* explained that the application of the rule of exclusive concurrent jurisdiction is broader than a statutory plea in abatement which can be invoked by way of a demurrer under Code of Civil Procedure § 430.10(c):

> Although the rule of exclusive concurrent jurisdiction is similar in effect to the statutory plea in abatement, it has been interpreted and applied more expansively, and therefore may apply where the narrow grounds required for a statutory plea of abatement do not exist. [Citation omitted.] Unlike the statutory plea of abatement, the rule of exclusive concurrent jurisdiction does not require absolute identity of parties, causes of action or remedies sought in the initial and subsequent actions. [Citations omitted.] If the court exercising original jurisdiction has the power to bring before it all the necessary parties, the fact that the parties in the second action are not identical does not preclude application of the rule. Moreover, the remedies sought in the separate actions need not be precisely the same so long as the court exercising original jurisdiction has the power to litigate all the issues and grant all the relief to which any of the parties might be entitled under the pleadings. [Citations omitted.]

(*Plant Insulation Co., supra,* 224 Cal.App.3d at 788 [emphasis added].)

In his opposition, Plaintiff argues in detail why the Court should not grant defendants' alternative request to stay the claims against Annie in light of the pending dissolution action. He contends that Evan "managed and supported" the development of the Property for seven years (Opp. p. 15, ll. 1-3), but that management all took place during Evan' marriage to Annie as the Property sale was fully completed by 2022 before their separation and subsequent initiation of the dissolution. (FAC ¶¶ 8, 19, 28, 37, 38.) He argues that the Oral Contract and the Note "are business dealings, separate from the divorce." (Opp. p. 15, ll. 3-4.) He also argues that Annie's duties under the Amended Note were as a "business partner, not a spouse" and were "purely contractual" and separate from "marital matters." (Opp. p. 15, ll. 9-14.) But the Court notes Plaintiff justified his amendments in the FAC relating to the Promise allegedly being made to both Evan and Annie by citing his community property interest at the time of the Promise for the $1 million payment from the sale of the Property, because he and Annie were married when the alleged Promise was made. (*See* discussion of demurrer to 3rd C/A above.)

Plaintiff alleges that the Taylor Morrison payment for the purchase of the Property, which was to be a source for payments under the Amended Note by its terms, commenced in 2019 and concluded in 2022, which is consistent with the judicially noticed documents. (*See* Defs. RJN Exhs. 3-7.) Plaintiff cites no authority that "business dealings" conducted by spouses during marriage which produce claims or assets potentially subject to division under the Family Code are not subject to determination and allocation in a dissolution proceeding before the family law court.

Defendants cite authority that the assets subject to Evan' claims against Annie may be community assets based on the presumption that assets acquired during marriage are community property under Family Code § 760. Defendants cite Family Code § 2010 which provides that the family court has "jurisdiction to inquire into and render any judgment and make order that are appropriate concerning . . . [t]he settlement of the property rights of the parties." (Fam. Code § 2010(e).) The Family Code allows the family law court to divide separate property interests at the request of either party. (Fam. Code § 2650, cited in *Askew, supra,* 22 Cal.App.4th at 962.) The Court also observes that the Family Code also brings within the family court jurisdiction issues regarding the fiduciary duties of spouses, the management of community assets, and breaches of fiduciary duties with respect to the community assets. (Fam. Code §§ 721(b) [providing that spouses are in a confidential relationship with each other which is "a fiduciary relationship subject to the same rights and duties of nonmarital business partners"], 1100 [management and control of community assets], and 1101 [remedies for breaches of fiduciary duties].) Given these provisions of the Family Code, Plaintiff has not cited any contrary authority that shows the claims subject to his fourth, fifth, and sixth causes of action against Annie are not within the scope of the jurisdiction of the family court, such that the Court's exercise of jurisdiction over the claims alleged in the fourth, fifth, and sixth causes of action may interfere with the jurisdiction of the family court, and result in potentially inconsistent rulings, as well as a waste of judicial resources by duplication of proceedings. (*Plant Insulation, supra,* 224 Cal.App.3d at 788.)

The Court finds that the exclusive doctrine applies and that it supports a staying the claims against Annie alleged in the FAC.

C. Court's Inherent Authority to Stay Action

In addition, "[t]rial courts generally have the inherent power to stay proceedings in the interest of justice and to promote judicial efficiency." (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 [emphasis added].) "[T]he power to stay proceedings is incidental to the power in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants." (*Landis v. North American Co.* (1936) 299 U.S. 248, 254.) A trial judge has inherent powers to manage and fashion procedures to control litigation to insure the orderly administration of justice. (*Cottle v. Superior Court* (1992) 3 Cal.App.4th 1367, 1376-79; *see also* Code Civ. Proc. §§ 128(a)(3) ["Every court shall have the power to do all of the following: To provide for the orderly conduct of proceedings before it, or its officers."] and (a)(5) ["Every court shall have the power to do all of the following: To control in furtherance of justice, the conduct of its ministerial officers, and of all other persons in any manner connected with a judicial proceeding before it, in every matter pertaining thereto."].) This inherent authority provides an additional basis for the Court to stay the action in light of the nature of the claims alleged against Annie, the cited provisions of the Family Code, and the undisputed existence of the dissolution proceedings between Annie and Evan in another court initiated at least a year or two before this civil action was filed.

D. Conclusion and Stay of Claims Against Annie

The general demurrers to the fourth, fifth, and sixth causes of action against Annie based on lack of subject matter jurisdiction under Code of Civil Procedure § 430.10(a) are **overruled**. Under the doctrine of exclusive concurrent jurisdiction, or alternatively, pursuant to the Court's inherent authority to stay the claims against Annie in the interests of justice, judicial efficiency, and avoidance of rulings that may interfere with the jurisdiction of the family court and the issues properly before that court in the dissolution proceeding, the action as to Annie and the claims alleged in the fourth, fifth, and sixth causes of action against her are hereby **stayed** pending (a) resolution of the dissolution proceeding between Plaintiff Evan and Annie in the Superior Court of California for the County of Nevada, or (b) further order of the Court.

Notwithstanding the stay of the claims against Annie, the Court will require Evan and Annie to apprise the Court periodically of the status of the dissolution proceeding and any impact events in that proceeding may have on the resumption of litigation of the stayed claims in this Court through appearance at the periodic case management/status conferences set in the case. The next case management conference in the case is scheduled for **8:30 a.m. on November 18, 2026**.

Given this ruling, and in light of the likelihood that events in the dissolution proceeding in the Nevada County Court may impact the claims made by Evan against Annie in the fourth through sixth causes of action, the Court does not reach any other grounds for the demurrers to the fourth through sixth causes of action.

Discovery Law & Motion

18. 9:01 AM CASE NUMBER: MSC22-00422
CASE NAME: BRADSHAW VS FRANCO HERRERA, IOX, LLC
***HEARING ON MOTION FOR DISCOVERY**
FILED BY: BRADSHAW, DANIEL
****TENTATIVE RULING:****

Before the Court is Plaintiff’s Motion for a Protective Order Regarding Defendants’ Demand for Second Medical Examination, filed August 13, 2026. Specifically, the Plaintiff seeks to restrict Defendants’ ability to choose the physician of its choice for a second mediation examination of the Plaintiff. The parties have met and conferred on this issue. (Declaration of David Livingston, filed August 18, 2026, “Livingston Decl.” ¶ 14.) The Plaintiff’s motion is **denied**.

Plaintiff’s lawsuit seeks, among other things, damages for injuries to his left knee due to an incident occurring on March 8, 2021. Plaintiff filed his complaint for personal injury on May 4, 2022. Litigation ensured. Trial was set for October 13, 2026. Defendants retained Dr. Piers Barry, an orthopedist who